

COUNTRY ROADS



SUBIR HALDER

As more and more insurance companies foray into villages with innovative schemes, it's a win-win partnership for corporates and farmers

■ By Nivedita Mukherjee

Mangat Ram, a farmer from a village in Allahabad, was not prepared for the unseasonal rains. As his crop rotted in the flood waters, his only source of income remained clogged. Left with few options, he was forced to draw from his precious savings in the local branch of the regional rural bank. True, the money had been tucked away for a rainy day, but with the unrelenting downpour, 45-year-old Ram wondered how long his savings would last.

Luckily for him, however, the introduction of rural insurance in his village provided him with a timely answer. A leading private insurer Max New

York Life Insurance offered him not just protection but also long-term savings. He opted for Max Vijay life insurance cover, whose Rajat scheme entails an enrolment premium of just Rs 1,000. Ten years hence, he will get the amount accrued along with some returns as maturity benefits. With his future in safe hands, Ram has now also forked out some bank savings to diversify his cultivation.

Like Ram, there are hundreds of farmers in rural pockets of the country who are benefiting from insurance in its new avatar. A Rs 50,000-crore insurance club comprising several companies is aggressively reaching out to the 1.56 crore rural households across 6.38 lakh villages in India to go beyond vanilla covers and opt instead for more sustainable schemes.

Although insurance companies were already sourcing 7-19 per cent of their business from the countryside as mandated by the Insurance Regulatory and Development Authority (IRDA), it